



Integrated Equities Limited

September 2023
Directors Report

IEL Licenses & Certifications



Licensed Stockbroker

204 in Pakistan
53 in Lahore



TREC Holder at PSX

279 in Pakistan
85 in Lahore¹



Member PSX Stock Brokers Association

145 in Pakistan
28 in Lahore



Research Entity

68 in Pakistan
9 in Lahore²



Securities & Futures Advisor

56 in Pakistan
12 in Lahore³



Consultant to the Issue

16 in Pakistan
1 in Lahore⁴

Source: ¹<https://www.psx.com.pk/psx/resources-and-tools/TREC-Holders>

²<https://www.secp.gov.pk/document/list-of-research-entities-september-14-2021/>

³<https://www.secp.gov.pk/licensing/capital-markets/securities-advisors-and-futures-advisor/#:~:text=Securities%20Advisor%20as%20a%20regulated,give%20investment%20advice%20to%20others>

⁴<https://www.secp.gov.pk/document/consultant-to-the-issue-licensed-by-secp-under-the-public-offering-regulated-securities-activities-licensing-regulations-2017-as-of-october-7-2020/>

Company Information

Board of Directors

Mr. Sardar Ali Wattoo, Director & CEO
Mrs. Sadia Ali, Director
Syed Kashan Hussain Kazmi, Director & COO
Mr. Muhammad Mohsin Nawaz Sabri, Independent Director
Ms. Saniya Ali, Director

Audit Committee

Mr. Muhammad Mohsin Nawaz Sabri, Chairman
Syed Kashan Hussain Kazmi, Member
Mrs. Sadia Ali, Member

Compliance & Risk Committee

Mr. Sardar Ali Wattoo, Chairman
Syed Kashan Hussain Kazmi, Member
Mr. Umair Ali Zafar, Member

Registered Office

First Floor, 202 Y Commercial, DHA Phase 3
Lahore Cantt, Pakistan

Statutory Auditors

Messrs. RSM Avais Hyder Liaquat Nauman
Chartered Accountants
H#136-B, Street 43,
F-10/4, Islamabad

Management

Mr. Sardar Ali Wattoo, CEO
Syed Kashan Hussain Kazmi, COO
Mrs. Sadia Ali, Executive Director
Mr. Umair Ali Zafar, Head of Corporate Finance
Mr. Muhammad Bilal Hanif, CFO
Mr. Muhammad Iqbal Hussain, Compliance Officer
Mr. Faisal Khan, Head of Settlements

Bankers

Allied Bank Limited
Bank Al Habib Limited
Bank Alfalah Limited
JS Bank Limited

Samba Bank Limited
Sindh Bank Limited
Summit Bank Limited

Associated Companies

Pakistan Credit Rating Agency Limited
Tasdeeq Information Services Limited
Dhadar Hydro Power (Pvt.) Limited
Aequitas Manufacturing (Pvt.) Limited
Media Info Systems (Pvt.) Limited

Legal Advisors

Imran Anjum Alvi Associates
Advocate Supreme Court
Lahore

Major Shareholders

Mr. Sardar Ali Wattoo (92.64%)
Mrs. Sadia Ali (7.35%)
Other Directors (0.01%)

Memberships & Associations

Member, PSX Stockbrokers Association
Licensed by SECP (BRL-159)
TREC Holder, PSX (293)

Who We Are?

Established in 2008, IEL is among Pakistan's leading Corporate Finance Boutiques and offers its clients a range of bespoke financial advisory and management consulting services, business development, stock brokerage, and capital markets research. The company is also engaged in innovative project development and incubation.

IEL is part of the Aequitas group of prestigious service providers and is directly associated with PACRA, Aequitas, Tasdeeq, and Media Monitors Pakistan.

Our team of multi-domain experts focuses on corporate finance advisory services including mergers and acquisitions, strategic asset/trade sales, corporate restructuring, IPOs, project development, and fund-raising alternatives in both domestic and international capital markets.

IEL is licensed/registered by SECP for Stock Broker, Consultant to the Issue, Securities & Futures Adviser, Authorized Intermediary and Notified Research Entity. IEL is a TREC Holder (Trading and Self Clearing) of Pakistan Stock Exchange Limited (PSX).

Our Mission

As a group deeply dedicated to the long-term prosperity of our clients, we are tireless in our drive to tap into our expertise to create value for stakeholders and to use teamwork to foster financial market growth.

Integrated Equities aims to be the best strategy, financial, and brokerage services provider in the region, with an emphasis on excellent client service.

Our Strengths

EXPERTISE: Seasoned investment bankers, finance professionals, and financial analysts with extensive experience and strong track records spanning multiple sectors.

NETWORK: Access to a wide network of associates and institutional relationships globally and locally, allowing specific project teams to maximize delivery across territories.

PERSONALISATION: We prefer to focus on a small clientele at a time, providing each client with the maximum attention, the best resources, and the fully custom-tailored services they deserve.

FRONT-LINE INFORMATION: Strong relationships and professional experience with top companies, banks, and mediating services equip us with unmatched, diverse business insights.

CONFIDENTIALITY: Compliant with all regulatory stipulations, and fully trusted by market-leading firms and individual clients alike. Your confidentiality is our priority.

INTEGRATED EQUITIES LIMITED

DIRECTORS' REPORT

On behalf of the Board of Directors of Integrated Equities Limited ("IEL" or the "Company"), the Annual Report of the Company for the year ended 30 June 2023 (FY23) The principal activity of the Company includes stock brokerage, research, and consultancy activities.

ECONOMIC OVERVIEW

During FY23 Pakistan continued to witness financial and economic challenges, hyper inflationary pressures generated by sky-high oil and commodity prices, continues devaluation of Pakistani rupee on the back of dwindling foreign exchange reserves of the country and delays in restoration of IMF package, negligible economic growth. To counter the troubling factors, the government and SBP continued their control techniques of unprecedented increase in interest rates, currency devaluation, fixing quota for the import of goods & services, among many other tools with limited success.

Going forward, in FY2024, the budget strategy 2023-24 prioritized fiscal consolidation effort to meet the existing challenges on both revenue and expenditure sides. The objective is to achieve a primary budget surplus and reduce the fiscal deficit in FY2024. To achieve these targets the priorities of the Government are geared towards effective resource mobilization through various tax measures and expenditure control by adopting austerity measures. While pursuing fiscal consolidation, the Government seems to be committed to safeguarding vulnerable segments of society by expanding social safety nets and ensuring targeted subsidies. However, the economy still confronting both global and domestic challenges with tight monetary policy stance.

Pakistan is hopeful about overcoming its economic crisis with a \$6 billion IMF bailout, austerity measures, and efforts to improve the business environment. However, political instability, rising living costs, and a global economic slowdown may hinder progress. Success will depend on the effectiveness of reforms, international support, and the global economic environment.

PAKISTAN STOCK MARKET

The Pakistan Stock Exchange (PSX) had a varied performance in the fiscal year that ended on June 30, 2023. The index that tracks the top 100 companies listed on the PSX, referred to as KSE-100, closed at 45,757.23 points on June 30, 2023, an increase from 40,735.08 points on the same day in 2022. However, the index experienced a 4.5% loss in the last seven days leading up to June 30, 2023.

The PSX's performance was impacted by several factors, including high inflation and rising interest rates, which made it more costly for businesses to invest or borrow money. Political instability in the country also contributed to a loss of investor confidence. Additionally, the decline in the value of the Pakistani rupee increased the cost of imports and reduced the competitiveness of exports.

Despite these challenges, there were few positive developments during the fiscal year. The total market capitalization also increased to 6.3 trillion rupees, up from 5.8 trillion rupees in the previous year. As of 07 September 2023, when this report being finalized KSE-100 index stands at 45,757 after touching high of 48,764 on 02 August 2023. The outlook for the PSX in the coming year is uncertain. Pakistan's economic challenges are expected to continue to impact the

market. However, the government's initiatives to enhance the business environment and attract foreign investment could offer some support to the market.

Overall, the PSX's performance in the fiscal year that ended on June 30, 2023, was mixed. The market encountered several challenges, but there were also positive developments. The outlook for the market in the coming year is challenging, but the government's efforts to improve the economy could provide some support.

COMPANY'S PERFORMANCE

Given below is the financial summary of your Company for the year ended June 30, 2023:

	2023	2022
Brokerage	20,526,998	43,976,601
Advisory Income	38,095,713	28,798,668
Realized loss on disposal of investments	(534,023)	(3,206,614)
Unrealized gain/ (loss) on re-measurement of investments	(9,153,187)	5,334,836
Other Income	17,013,337	20,590,285
Profit after tax	8,871,660	35,873,900
Earnings Per Share	0.68	2.76

The Company reported a profit of PKR 8.871 mln FY23 as compared to PKR 35.874 mln in the last financial year. There was a reduction in Brokerage commission income of 53.32% in FY23 when compared to FY22 and likewise Other Income was decreased by 17.37%, Unrealized gain on re-measurement of investments of PKR 5.334 mln in FY22 has converted to Unrealized loss of PKR 9.153 mln in FY23. There has been a significant increase in the consultancy income of 32.28% in FY23. The realized loss on disposal of investments of PKR 3.206 mln in FY22 has reduced to PKR 0.534 mln in FY23. Overall, profit after tax has registered a decreased YoY basis owing to the economic and financial challenges.

There have been no changes in the nature of the business of the Company during the financial year. The Company's management is continuing its efforts to divest shareholding in Pace Barka Properties Limited which is facing challenges due to challenging macro and micro environment.

The completion of the construction of the Company's building next to Lahore Airport near the Ring Road Interchange continued but at a slow pace in order to preserve cash reserves during FY23. However, in view of the revival of trading and volumes on PSX during last few months the management decided to expedite the completion of the building to the extent facilitating the Company to shift to relocate its head office in the newly built building in the near future.

EMPLOYEES BENEFITS & CSR

Our company provided hospitalization insurance for employees and their families. We also started a contributory provident scheme for regular employees, with separate contributions for now. We are committed to philanthropic activities and giving back to the community.

RISK MANAGEMENT

The major risks faced by the Company includes, Market Risk, Operational Risk, Regulatory Risk, Liquidity Risk, Client Risk, Systematic Risk and Interest Rate Risk. The Company has a very low credit and counterparty risk. The Board has implemented a risk management system, which is reviewed and updated from time to time.

The risk management governing board plays an integral role in reviewing and approving any policy changes. One of the main focuses is to reduce its regulatory and operational risks. Both the Internal audit and risk management departments play an important role to mitigate such risks. A regular periodic review is done at the Management level to update risks and devise methodologies to reduce/mitigate risks.

RATING BY VIS CREDIT RATING

The VIS Credit Rating has issued and maintained ratings of your company at BFR 3++. This rating is instrumental in winning your Company's listings with financial institutions and Alhamdulillah, some of the largest asset management companies e.g., MCB Asset Management Company and Sindh Bank Limited, and the like.

INTERNAL FINANCIAL CONTROLS

The Company has an adequate internal financial controls system in place and operating effectively. The Board has established Audit Committee and Compliance & Risk Committee which meet periodically to overview the internal control framework and the effectiveness of such controls through the Compliance and Internal Audit departments of the Company.

CODE OF CORPORATE GOVERNANCE

The Board endeavors all its efforts to ensure the requirements of the Code of Corporate Governance to the extent applicable. The Board understands its responsibilities toward the shareholders and other stakeholders and aims to enhance the accuracy and transparency of transactions conducted by the Company. The Directors are pleased to report that:

- The financial statements prepared by the management of the Company present fairly its state of affairs, the results of its operations, cash flows, and changes in equity
- Proper books of account of the Company have been maintained
- Appropriate accounting policies have been consistently applied in the preparation of financial statements and accounting estimates are based on reasonable and prudent judgment
- International Financial Reporting Standards, as applicable in Pakistan, have been followed in the preparation of financial statements.
- The system of internal control is sound in design and has been effectively implemented and monitored
- There are no significant doubts about the Company's ability to continue as a going concern
- There has been no material departure from the best practices of corporate governance to the extent required

BOARD OF DIRECTORS

The Company has total 5 directors. During the year Mr. Muhammad Mohsin Nawaz Sabri was appointed as Independent Director in place of Mr. Sheikh Muhammad Iqbal and Ms. Saniya Ali was appointed as an Executive Director in place of Mr. Tariq Mahmood. Other Directors of the Company are Mr. Sardar Ali Wattoo who is also the Chief Executive Officer, Mrs. Sadia Ali and Mr. Kashan Hussain Kazmi.

AUDITORS

The Board of Directors of the Company, in their meeting on 28 September 2022, had appointed Messrs. RSM Avais Hyder Liaquat Nauman, Chartered Accountants Islamabad, to fill the casual vacancy created by the outgoing auditors. Messrs. RSM Avais Hyder Liaquat Nauman, the incoming auditors, have completed the audit of the Company's financial statements for the year ended June 30, 2023.

The Board of the Company endorses the recommendation of the Audit Committee for the reappointment of Messrs. RSM Avais Hyder Liaquat Nauman, Chartered Accountants, as the Auditors of the Company for the financial year ending 30 June 2024.

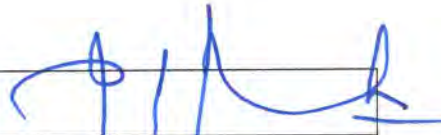
PATTERN OF SHAREHOLDINGS

The detailed pattern of the shareholding and categories of shareholders of the Company as of 30 June 2023, as required, have been appended to the Annual Report.

ACKNOWLEDGEMENT

We are grateful to the shareholders of the Company to continue showing their confidence in the Board of Directors of the Company. We also appreciate the necessary support provided by the Regulatory authorities for support and guidance.

For and on behalf of the Board of Directors

Sardar Ali Wattoo	Chief Executive Officer	
Sadia Ali	Director	

STATEMENT UNDER CLAUSE 9(iii) OF THE CORPORATE GOVERNANCE CODE FOR BROKERS

There are no transactions entered into by the Company during the year, which are fraudulent, illegal, or in violation of any securities market laws.

For and on behalf of
Integrated Equities Limited


Chief Executive Officer

INTEGRATED EQUITIES LIMLITED

FINANCIAL STATEMENTS

FOR THE YEAR ENDED JUNE 30, 2023

RSM Avais Hyder Liaquat Nauman

Chartered Accountants

House # 136-B, Street # 43,
Sector F-10/4,
Islamabad – Pakistan.T: +92 (51) 211 4096/7/8
F: +92 (51) 229 6688E: islamabad@rsm-pakistan.com
W: www.rsm-pakistan.com**INDEPENDENT AUDITORS' REPORT****TO THE MEMBERS OF INTEGRATED EQUITIES LIMITED****Report on the Audit of the Financial Statements****Opinion**

We have audited the annexed financial statements of **INTEGRATED EQUITIES LIMITED** (the Company), which comprise the statement of financial position as at June 30, 2023, and the statement of profit or loss, the statement of comprehensive income, the statement of changes in equity, the statement of cash flows for the year then ended and notes to the financial statements, including a summary of significant accounting policies and other explanatory information, and we state that we have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of the audit.

In our opinion and to the best of our information and according to the explanations given to us, the statement of financial position, the statement of profit or loss, the statement of comprehensive income, the statement of changes in equity and the statement of cash flows together with the notes forming part thereof conform with the accounting and reporting standards as applicable in Pakistan and give the information required by the Companies Act, 2017 (XIX of 2017), in the manner so required and respectively give a true and fair view of the state of the Company's affairs as at June 30, 2023, and of the profit and other comprehensive income, the changes in equity and its cash flows for the year then ended.

Basis for Opinion

We conducted our audit in accordance with the International Standards on Auditing (ISAs) as applicable in Pakistan. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants as adopted by the Institute of Chartered Accountants of Pakistan (the Code) and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Information Other than the Financial Statements and Auditor's Report Thereon

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. However, we have nothing to report in this regard.

THE POWER OF BEING UNDERSTOOD
AUDIT | TAX | CONSULTINGOther Offices at:
Lahore : 92 (42) 3587 2731-3
Karachi : 92 (21) 3565 5975/6
Faisalabad : 92 (41) 854 1165, 854 1965
Peshawar : 92 (91) 527 8310/5277205
Quetta : 92 (81) 282 9809
Kabul : 93 (799) 058155

Responsibilities of Management and Board of Directors for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with the accounting and reporting standards as applicable in Pakistan and the requirements of the Companies Act, 2017 (XIX of 2017) and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of directors are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatements, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs as applicable in Pakistan will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs as applicable in Pakistan, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risk of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

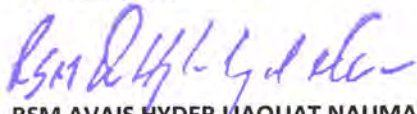
We communicate with the board of directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and Regulatory Requirements

Based on our audit, we further report that in our opinion:

- a) proper books of account have been kept by the Company as required by the Companies Act, 2017 (XIX of 2017);
- b) the statement of financial position, the statement of profit or loss, the statement of comprehensive income, the statement of changes in equity and the statement of cash flows together with the notes thereon have been drawn up in conformity with the Companies Act, 2017 (XIX of 2017), and are in agreement with the books of account and returns;
- c) investments made, expenditure incurred and guarantees extended during the year were for the purpose of the Company's business; and
- d) no zakat was deductible at source under the Zakat and Ushr Ordinance, 1980 (XVIII of 1980).
- e) the Company was in compliance with the requirement of section 78 of the Securities Act 2015, and the relevant requirements of Securities Brokers (Licencing and Operations) Regulations, 2016 as at the date on which the financial statements were prepared.

The engagement partner on the audit resulting in this independent auditor's report is Mr. Nauman Mahmood, FCA.



RSM AVAIS HYDER LIAQUAT NAUMAN
CHARTERED ACCOUNTANTS

PLACE: ISLAMABAD

DATE: 09-09-2023

UDIN: AR202310379wlfQC2dNy

INTEGRATED EQUITIES LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT JUNE 30, 2023

		2023	2022
		----- (Rupees) -----	
ASSETS	<i>Note</i>		
NON CURRENT ASSETS			
Property & Equipment's	5	15,474,643	10,552,466
Intangible Assets	6	2,500,000	2,500,000
Long Term Investments	7	51,132,815	69,237,245
Long Term Deposits	8	1,719,000	1,719,000
Investment Property	9	79,719,682	71,788,500
		150,546,140	155,797,211
CURRENT ASSETS			
Trade Debtors	10	31,990,161	14,456,355
Short Term Investments	11	11,368,258	8,312,544
Advances, Deposits, Prepayments & Other Receivables	12	17,536,630	28,505,204
Cash and Bank Balances	13	128,298,094	65,999,848
		189,193,143	117,273,951
TOTAL ASSETS		<u>339,739,283</u>	<u>273,071,162</u>
EQUITY AND LIABILITIES			
SHARE CAPITAL AND RESERVES			
Share Capital	14	130,000,000	130,000,000
Retained Earnings		72,843,789	63,972,129
TOTAL EQUITY		202,843,789	193,972,129
LIABILITIES			
NON CURRENT LIABILITIES			
Long term - Subordinated loan	15	6,200,000	6,200,000
		6,200,000	6,200,000
CURRENT LIABILITIES			
Trade And Other Payables	16	129,488,362	70,725,871
Taxation- net	17	1,207,132	2,173,163
Short Term Loan	18	-	-
		130,695,494	72,899,034
CONTINGENCIES AND COMMITMENTS	19	-	-
TOTAL EQUITY AND LIABILITIES		<u>339,739,283</u>	<u>273,071,162</u>

P&M

The annexed notes from 1 to 36 form an integral part of these Financial Statements.


CHIEF EXECUTIVE

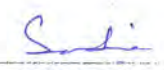

DIRECTOR

INTEGRATED EQUITIES LIMITED
STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME
FOR THE YEAR ENDED JUNE 30, 2023

		2023	2022
	Note	(Rupees)	
Operating revenue	20	62,445,708	74,616,750
Realized loss on disposal of investments		(534,023)	(3,206,614)
Unrealized (loss) / gain on remeasurement of investments	21	(9,153,187)	5,334,836
		52,758,498	76,744,972
Administrative and general expenses	22	(53,737,423)	(54,583,594)
Other expenses	23	(445,191)	(844,788)
Finance costs	24	(2,872,480)	(1,600,041)
Other income	25	17,013,337	20,590,285
		12,716,741	40,306,833
Profit before tax		12,716,741	40,306,833
Taxation	26	(3,845,081)	(4,432,933)
Profit after tax		8,871,660	35,873,900
Other comprehensive income		-	-
Total comprehensive income		8,871,660	35,873,900
Earnings per share - basic and diluted	27	0.68	2.76

The annexed notes from 1 to 36 form an integral part of these Financial Statements.


 CHIEF EXECUTIVE


 DIRECTOR

INTEGRATED EQUITIES LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED JUNE 30,2023

	Issued, subscribed and paid-up capital	Retained earnings	Total
	(Rupees)		
Balance as at June 30,2021	130,000,000	52,798,230	182,798,230
Dividend payment during the year @ Rs.1.90 per share	-	(24,700,000)	(24,700,000)
Profit for the year after taxation	-	35,873,900	35,873,900
Balance as at June 30,2022	130,000,000	63,972,129	193,972,129
Profit for the year after taxation		8,871,660	8,871,660
Balance as at June 30,2023	<u>130,000,000</u>	<u>72,843,789</u>	<u>202,843,789</u>

The annexed notes from 1 to 36 form an integral part of these Financial Statements.

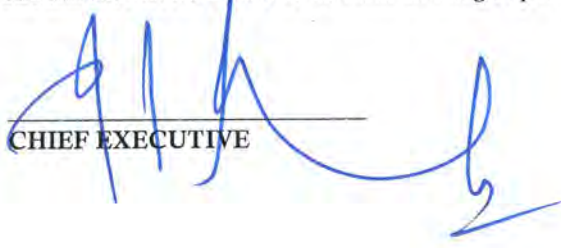

 CHIEF EXECUTIVE


 DIRECTOR

INTEGRATED EQUITIES LIMITED
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED JUNE 30, 2023

	Note	2023	2022
		(Rupees)	
CASH FLOW FROM OPERATING ACTIVITIES			
Profit before tax		12,716,741	40,306,833
Adjustment for Non-cash items			
Depreciation	5	2,674,524	2,416,467
Unrealized gain (loss) on remeasurement of short term investment through profit or loss	21	9,153,187	(5,334,836)
Loss / (Gain) on Investment		534,023	3,206,614
(Reversal) / Provision For Deferred liabilities	25	(214,600)	(1,714,607)
Provision For Deferred WWF	23	445,191	844,788
(Gain) / loss on disposal of Vehicle	25	(2,223,851)	(1,544,691)
Gain on revaluation of investment property	25	(6,924,000)	(8,679,274)
Write Offs / Bad Debts	22	412,170	823,635
Provision For Bad Debts		-	(18,557,961)
Finance Cost	24	2,872,480	1,600,041
Net Profit before Working Capital Changes		19,445,865	13,367,008
Changes in Working Capital			
(Increase) / Decrease in Current Assets			
Trade Debtors		(17,945,977)	36,796,034
Short Term Investments		5,361,506	(5,495,670)
Advances, Deposits and Other Receivables		10,968,574	129,696,690
Increase / (Decrease) in Current Liabilities			
Trade Creditors and Accrued Expenses		58,531,902	(97,222,385)
Cash Used in Operations		76,361,870	77,141,676
Tax paid		(4,811,111)	(2,894,495)
Finance cost paid		(2,872,480)	(524,341)
Net Cash Used/Generated from Operating Activities		68,678,279	73,722,840
CASH FLOW FROM INVESTING ACTIVITIES			
Security Deposit		-	400,000
Acquisition of PPE		(8,772,850)	(2,062,566)
Proceed From Disposal of PPE		3,400,000	1,685,000
Addition to investment property		(1,007,183)	(19,386,900)
Net Cash flow from Investing Activities		(6,380,033)	(19,364,466)
CASH FLOW FROM FINANCING ACTIVITIES			
Lease Liability		-	(3,918,458)
Dividend payment during the year		-	(24,700,000)
Acquisition/(repayment) of long term loan from director		-	(9,126,088)
Net Cash Flow from Financing Activities		-	(37,744,546)
Net Increase in Cash and Cash Equivalents		62,298,246	16,613,828
Cash and Cash Equivalents at the beginning of the Year		65,999,848	49,386,020
Cash and Cash Equivalents at the end of the Year		128,298,094	65,999,848

The annexed notes from 1 to 36 form an integral part of these Financial Statements.


CHIEF EXECUTIVE


DIRECTOR

INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

1 STATUS AND NATURE OF BUSINESS

Integrated Equities Limited ("the Company") was incorporated in Pakistan on July 01, 2008 as a private limited company, under the Companies Ordinance, 1984 with incorporation number 0066729. Status of the Company was changed from private limited to public limited on December 30, 2016. The Principal Activities of the company include shares brokerage and investment in shares, stocks, fixed income securities, bonds etc. and also provide consultancy services.

The Registered office of the company is located at 202 Y First Floor Commercial Area Defense Housing Authority Lahore.

2 BASIS OF PREPARATION

2.1 Statement of Compliance

These financial statements have been prepared in accordance with the accounting and reporting standards

as applicable in Pakistan. The accounting and reporting standards as applicable in Pakistan comprise of:

- International Financial Reporting Standards (IFRS) for Small and Medium Sized Entities (IFRS for SMEs) issued by the International Accounting Standard Board (IASB) as notified under the provisions of the Companies Act, 2017; and
- Provisions of and directives issued under the Companies Act 2017.

Where provisions of and directives issued under the Companies Act, 2017 differ from the IFRS for SMEs, the provisions of and directives issued under the Companies Act, 2017 have been followed.

2.2 Basis of measurement

These financial statements have been prepared under the historical cost convention, except for investment property and certain financial assets that are stated at fair value.

2.3 Functional and presentation currency

These financial statements are presented in Pakistan Rupee (Rs. / Rupees) which is the Company's functional currency.

2.4 Key judgments and estimates

The preparation of financial statements in conformity with approved accounting standards as applicable in Pakistan, requires management to make judgments, estimates and assumptions, that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates, associated assumptions and judgments are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the result of which form the basis of making the judgments about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the year in which the estimate is revised if the revision affects only that year, or in the year of the revision and future years if the revision affects both current and future years. There was no significant adjustment required for the estimates and judgments as compared to previous year.

The areas where various assumptions and estimates are significant to Company's financial statements or where judgments were exercised in application of accounting policies are;

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

a) Useful life and residual values of property equipment	4.1
b) Impairment	4.4
c) Classification and valuation of investment	4.5
d) Provision for taxation	4.12

3 Initial application of new standards, interpretations or amendments to existing standards

3.1 The Company has adopted the following revised standards and amendments of IFRSs which became effective for the current year:

There are new and amended standards and interpretations that are mandatory for accounting periods beginning 01 July 2020 other than those disclosed in note 3.2. These are considered not to be relevant or do not have any significant effect on the Company's financial statements and are therefore not stated in these financial statements.

Impact of amendment in effective IFRS

The adoption of the new standards, amendments, improvements to accounting standards and interpretations effective for the year did not have any effect on the financial statements.

3.2 Standards, amendments to approved accounting standards that are not yet effective

The standards, amendments and interpretations with respect to the approved accounting standards as applicable in Pakistan, that are issued but not yet effective, up to the date of these financial statements are disclosed below. The company intends to adopt these standards, if applicable, when they become effective.

4 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

4.1 Property and equipment

These are stated at cost less accumulated depreciation and impairments, if any. Depreciation is charged on reducing balance basis at the rates specified in Note 5 to the financial statements, which are considered appropriate to write off the cost of assets over their useful economic lives.

Depreciation on additions is charged on a pro-rata basis from the month in which the asset is available for use, while for disposals depreciation is charged up to the month preceding the disposal of the asset. Where an impairment loss is recognized, the depreciation charge is adjusted in the future periods to allocate the assets revised carrying amount over its estimated useful life.

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably.

Maintenance and repairs are charged to profit or loss as and when incurred. Renewals and improvements are capitalized when it is probable that respective future economic benefits will flow to the Company and the cost of the item can be measured reliably, and the assets so replaced, if any, are retired.

The gain or loss on disposal or retirement of an asset represented by the difference between the sale proceeds and the carrying amount of the asset is recognized as an income or expense.

Residual value and the useful life of an asset are reviewed at each financial year end and adjusted if impact on depreciation is significant.

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

4.2 Intangible Assets

Trading Right Entitlement Certificate (TREC)

These are stated at cost less accumulated impairment, if any. The carrying amount is reviewed at each statement of financial position date to assess whether these are recorded in excess of their recoverable amount, and where carrying amount exceeds estimated recoverable amount, these are written down to their estimated recoverable amount. These assets have an indefinite useful life so no amortization has been charged.

Computer software

These are stated at cost less accumulated amortization, if any. The carrying amount is reviewed at each statement of financial position date to assess whether these are recorded in excess of their recoverable amount, and where carrying amount exceeds estimated recoverable amount, these are written down to their estimated recoverable amount.

4.3 Staff retirement benefits

The company is required to maintain unfunded gratuity as retirement benefit plan for its employees, eligible for gratuity under The West Pakistan Industrial and Commercial Employment (Standing Orders) Ordinance, 1968, Schedule of standing Orders, who have completed the qualifying period as defined under the standing order.

The amount of liability of each employee is computed by number of years completed multiplied by the last drawn monthly gross salary. The difference between the current and previous liability is charged to profit and loss amount as expense for the year under the head salaries and benefits.

4.4 Impairment

- Non financial assets

The carrying amount of the Company's assets are reviewed at each statement of financial position date to determine whether there is any indication of impairment loss. If any such indication exists, the asset's recoverable amount is estimated in order to determine the extent of the impairment loss, if any.

An impairment loss is recognized whenever the carrying amount of an asset or its cash generating unit exceeds its recoverable amount. All impairment losses are recognized in the profit or loss. Individually significant financial assets are tested for impairment on individual basis.

Impairment losses are reversed when there is an indication that the impairment may no longer exist and there has been a change in the estimate used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation and amortization, if no impairment loss had been charged.

- Financial assets

The Company recognizes loss allowances for Expected Credit Losses (ECLs) in respect of financial assets measured at amortized cost.

The Company measures loss allowances at an amount equal to lifetime ECLs, except for the following, which are measured at 12-month ECLs:

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

- debt securities that are determined to have low credit risk at the reporting date; and
 - other debt securities and bank balance for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.
- Loss allowances for trade receivables are always measured at an amount equal to lifetime ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessment and including forward-looking information.

The Company assumes that the credit risk on a financial asset has increased significantly if it is more than past due for a reasonable period of time. Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument. 12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months). The maximum period considered when estimating ECLs is the maximum contractual period over which the Company is exposed to credit risk.

Loss allowances for financial assets measured at amortized cost are deducted from the Gross carrying amount of the assets.

The gross carrying amount of a financial asset is written off when the Company has no reasonable expectations of recovering of a financial asset in its entirety or a portion thereof. The Company individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. The Company expect no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedures for recovery of amounts due.

4.5 Investments

Investments intended to be held for less than twelve months from statement of financial position date or to be sold to raise operating capital are included in current assets, all other investments are classified as non-current. Investments are classified as follows:

Investment in securities are recognized on a trade-date basis and are initially recognized at cost.

Held to maturity

These are the securities with fixed and determinable payments and fixed maturity where the Company has the positive intent and ability to hold to maturity. These are measured at amortized cost less any impairment loss recognized to reflect irrecoverable amounts

Available for sale

Investments that can not be classified as either held to maturity, financial assets at fair value through profit or loss or loan and receivables are classified under this category. These are measured initially and subsequent to the initial recognition at fair value and includes, in the case of initial recognition, transaction cost that are directly attributable to the acquisition of these investments.

Gain or loss from re-measurement to fair value are recognised directly in other comprehensive income, except for impairment losses, until the derecognition at which time the cumulative gain or loss previously recognised in other comprehensive income shall be recognised in profit or loss. Dividend on these investment are recognised in profit or loss as per revenue recognition policy of the company.

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

Fair value through profit or loss

Investment at fair value through profit or loss are initially measured at cost, being the fair value of consideration given. At subsequent reporting dates, these investments are measured at fair value (quoted market price), unless fair value cannot be reliably measured. The investments for which a quoted market price is not available, are measured at cost as it is not possible to apply any other valuation methodology. Realized and unrealised gains and losses arising from changes in fair value are included in the other comprehensive income for the period in which they arise.

Investments intended to be held for less than twelve months from the balance sheet date are included in current assets, all other investments are classified as non-current asset.

All purchases and sales of investments are recognised on the trade date which is the date that the company commits to purchase or sell the investment. Cost of purchase does not include transaction cost.

At each reporting date, the company reviews the carrying amounts of the investments to assess whether there is any indication that such investments have suffered an impairment loss. If any such indication exist, the recoverable amount is estimated in order to determine the extent of the impairment loss, if any. Impairment losses are recognised as expense. Where an impairment loss subsequently reverses, the carrying amount of the investment is increased to the revised recoverable amount but limited to the extent of initial cost of the investment. A reversal of the impairment loss is recognised as income.

4.6 Financial instruments

i- Initial measurement of financial asset

The Company classifies its financial assets in to following three categories:

- fair value through other comprehensive income (FVOCI);
- fair value through profit or loss (FVTPL); and
- measured at amortized cost.

A financial asset is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition.

ii- Subsequent measurement

Debt Investments at FVOCI: These assets are subsequently measured at fair value. Interest / markup income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognized in the statement of profit or loss. Other net gains and losses are recognized in other comprehensive income. On de-recognition, gains and losses accumulated in other comprehensive income are reclassified to the statement of profit or loss.

Equity Investments at FVOCI: These assets are subsequently measured at fair value. Dividends are recognized as income in the statement of profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognized in other comprehensive income and are never reclassified to the statement of profit or loss.

Financial assets at FVTPL: These assets are subsequently measured at fair value. Net gains and losses, including any interest / markup or dividend income, are recognized in profit or loss.

Financial assets measured at amortized cost: These assets are subsequently measured at amortized cost using the effective interest rate method. The amortized cost is reduced by impairment losses. Interest / markup income, foreign exchange gains and losses and impairment are recognized in the statement of profit or loss.

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

iii- Non-derivative financial assets

All non-derivative financial assets are initially recognized on trade date i.e. date on which the Company becomes party to the respective contractual provisions. Non-derivative financial assets comprise loans and receivables that are financial assets with fixed or determinable payments that are not quoted in active markets and includes trade debts, advances, other receivables and cash and cash equivalent.

The Company derecognizes the financial assets when the contractual rights to the cash flows from the asset expires or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risk and rewards of ownership of the financial assets are transferred or it neither transfers nor retains substantially all of the risks and rewards of ownership and does not retain control over the transferred asset.

iv- Financial Liabilities

Financial liabilities are initially recognized on trade date i.e. date on which the Company becomes party to the respective contractual provisions. Financial liabilities include mark-up bearing borrowings and trade and other payables. The Company derecognizes the financial liabilities when contractual obligations are discharged or cancelled or expire. Financial liability other than at fair value through profit or loss are initially measured at fair value less any directly attributable transaction cost. Subsequent to initial recognition, these liabilities are measured at amortized cost using effective interest rate method.

v- Offsetting of financial assets and financial liabilities

Financial assets and financial liabilities are offset and the net amount is reported in the statement of financial position only when the Company has a legally enforceable right to set off the recognized amounts and intends to either settle on a net basis or realize the asset and settle the liability simultaneously.

4.7 Trade debts, advances and other receivables

Trade debts are carried at original invoice amount less an estimate made for doubtful debts based on a review of all outstanding amounts at the year end. Bad debts are written off when identified.

4.8 Trade and other payables

Liabilities for trade and other amounts payable are carried at cost which is the fair value of the consideration to be paid in the future for goods and services received, whether or not billed to the Company.

4.9 Investment property

Investment properties are properties which are held either to earn rental income or for capital appreciation or for both. Investment properties are initially recognized at cost, being the fair value of the consideration given, subsequent to initial recognition these are stated at fair value. The fair value is determined annually by an independent approved valuer. The fair values are based on market values, being the estimated amount for which a property could be exchanged on the date of valuation between knowledgeable and willing buyer and seller in an arm's length transaction.

Any gain or loss arising from a change in fair value is recognized in the statement of profit or loss. Rental income from investment property is charged to profit or loss on accrual basis.

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

When an item of property and equipment is transferred to investment property following a change in its use, any differences arising at the date of transfer between the carrying amount of the item immediately prior to transfer and its fair value is recognized in surplus on revaluation of property and equipment, if it is a gain. Upon disposal of the item the related surplus on revaluation of property and equipment is transferred to retained earnings. Any loss arising in this manner is recognized immediately in the profit or loss.

If an investment property becomes owner-occupied, it is reclassified as property and equipment and its fair value at the date of reclassification becomes its cost for accounting purposes for subsequent recording.

4.10 Provisions

Provisions are recognized when the Company has a present legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the obligation can be made. However, provisions are reviewed at each statement of financial position date and adjusted to reflect current best estimate.

4.11 Revenue recognition

- Brokerage income and consultancy are recognized as and when such services are provided.
- Dividend income is recognized at the time of book closure of the company declaring the dividend.
- Return on securities other than shares is recognized as and when it is due on time proportion basis.
- Mark-up/interest income is recognized on accrual basis.
- Capital gains or losses on sale of investments are recognized in the year in which they arise.

4.12 Taxation

Current

Provision for current taxation is based on the taxable income for the year determined in accordance with the prevailing laws for taxation of income. The charge for current tax is calculated using prevailing tax rates or tax rates expected to apply to the profit for the year if enacted after taking into account tax credits, rebates and exemptions, if any. The charge for current tax also includes adjustments, where considered necessary, to provision for tax made in previous years arising from assessments framed during the year for such years.

Deferred

Deferred tax is accounted for using the statement of financial position liability method in respect of temporary differences arising from differences between the carrying amount of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of the taxable profit.

Deferred tax liabilities are generally recognized for all taxable temporary differences and deferred tax assets are recognized to the extent that it is probable that taxable profits will be available against which the deductible temporary differences, unused tax losses and tax credits can be utilized.

Deferred tax is calculated at the rates that are expected to apply to the period when the differences reverse based on tax rates that have been enacted or substantively enacted by the statement of financial position date. Deferred tax is charged or credited in the profit or loss, except in the case of items credited or charged to equity in which case it is included in equity.

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

4.13 Cash and cash equivalents

Cash and cash equivalents are carried in the statement of financial position at cost. For the purpose of cash flow statement, cash and cash equivalents comprise of cash in hand, cash with banks and other short term highly liquid investments (if any) that are readily convertible to known amounts of cash and which are subject to insignificant risk of change in value.

4.14 Related party transactions

All transactions involving related parties arising in the normal course of business are conducted at arm's length, at normal commercial rates on the same terms and conditions as third party transactions using valuation modes as admissible, except in extremely rare circumstances where, subject to approval of Board of Directors, it is in the interest of the Company to do so.

4.15 Fair value

Fair value is the amount for which an asset could be exchanged, or liability settled, between knowledgeable willing parties in an arm's length transaction. Underlying the definition of fair value is the presumption that the Company is a going concern without any intention or requirement to curtail materially the scale of its operations or to undertake a transaction on adverse terms. The carrying values of all financial assets and liabilities reflected in these financial statements approximate their fair values. Fair value is determined on the basis of objective evidence at each reporting date.

Specific valuation techniques used to value financial instruments include:

Quoted prices (unadjusted) in active markets for identical assets or liabilities (level 1).

Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) (level 2).

Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs) (level 3).

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

5 PROPERTY AND EQUIPMENTS

	Owned				Leased Assets	Total
	Computers & Accessories	Furniture & Fixtures	Office Equipment's	Vehicle	Vehicle	

(Rupees)

Cost

Balance as at 1 July 2021
Additions/ Transfer during the year
Disposals/ Transfer during the year
Balance as at 30 June 2022

2,620,763	2,040,546	1,218,146	8,216,810	5,485,000	19,581,265
1,154,468	123,583	133,515	6,136,000	651,000	8,198,566
			(2,173,110)	(6,136,000)	(8,309,110)
3,775,231	2,164,129	1,351,661	12,179,700	-	19,470,721

Balance as at 1 July 2022
Additions/ Transfer during the year
Disposals/ Transfer during the year
Balance as at 30 June 2023

3,775,231	2,164,129	1,351,661	12,179,700	-	19,470,721
470,900	-	-	8,301,950	(3,132,500)	8,772,850
4,246,131	2,164,129	1,351,661	17,349,150	-	25,111,071

DEPRECIATION

Balance as at 1 July 2021
Charge/transfer for the year
Disposals/transfer during the year
Balance as at 30 June 2022

1,811,476	1,047,256	503,798	4,897,810	274,250	8,534,589
411,215	152,271	79,123	1,773,857	-	2,416,467
			(1,758,551)	(274,250)	(2,032,801)
2,222,691	1,199,527	582,921	4,913,116	-	8,918,255

Balance as at 1 July 2022
Charge/transfer for the year
Disposals/transfer during the year
Balance as at 30 June 2023

2,222,691	1,199,527	582,921	4,913,116	-	8,918,255
593,387	144,809	76,874	1,859,454	-	2,674,524
2,816,078	1,344,336	659,795	4,816,219	-	9,636,429

Book value as at 30 June 2022

1,552,540	964,602	768,740	7,266,584	-	10,552,466
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Book value as at 30 June 2023

1,430,053	819,793	691,866	12,532,931	-	15,474,643
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Annual depreciation rate %

30%	15%	10%	20%	20%	
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5.1 Particulars of disposal of property and equipment are as follows:

Particulars	Cost	WDV at Disposal	Accumulated Depreciation	Sale Proceed	Gain on Disposal	Mode of Disposal
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Vehicle

3,132,500

1,176,149

1,956,351

3,400,000

2,223,851

Sale

Rem

INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

	Note	2023 RUPEES	2022 RUPEES
6 INTANGIBLE ASSETS			
Computer Software	6.1	-	-
Trading Right Entitlement Certificate (TREC)	6.2	2,500,000	2,500,000
		<u>2,500,000</u>	<u>2,500,000</u>
6.1 COMPUTER SOFTWARE			
Gross carrying value basis			
Opening carrying amount		-	3,500
Amortization charge		-	(3,500)
Closing carrying amount		<u>-</u>	<u>-</u>
Gross carrying value basis			
Cost		-	209,500
Accumulated amortization		-	(209,500)
Carrying amount		<u>-</u>	<u>-</u>
6.2 TRADING RIGHT ENTITLEMENT CERTIFICATES			
Cost	6.2.1	2,500,000	2,500,000
Impairment		-	-
		<u>2,500,000</u>	<u>2,500,000</u>
6.2.1 This represents Trading Right Entitlement Certificate (TREC) received from Pakistan Stock Exchange Limited (PSX). This have been carried at cost less accumulated impairment losses. PSX vide notice no. PSX/N - 225 dated February 16, 2021 have notified the notional fees of a Trading Right Entitlement Certificate which amounts to Rs. 2.5 million.			
6.2.2 This TREC of the Company is pledged against the Base Minimum Capital (BMC)			
6.2.3 The Company has no internally generated intangible assets.			
7 LONG TERM INVESTMENTS- Fair value through profit or loss			
7.1 Investments in related parties			
Media Info Systems (Pvt.) Limited	7.1.1	<u>4,684,609</u>	<u>4,871,481</u>
7.1.1 Movement of Investment in related parties			
Media Info Systems (Pvt.) Limited			
Opening balance on July 01, 2022		4,871,481	3,440,420
450,000 (2022: 450,000) Ordinary Shares of Rs. 10 each Equity Held			
10.1637% (2022 : 10.1637%)			
Gain/(Loss) on remeasurement of investment charged to P&L	7.2.3	(186,872)	1,431,061
Closing balance on June 30, 2023		<u>4,684,609</u>	<u>4,871,481</u>
7.2 Other Investments			
Pace Barka Properties Limited	7.2.1	46,448,206	47,958,442
LSE Financial Services Limited (formerly Lahore Stock Exchange Limited-LSEL)	7.2.2	-	16,407,321
		<u>46,448,206</u>	<u>64,365,763</u>
		<u>51,132,815</u>	<u>69,237,245</u>

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

	Note	2023 RUPEES	2022 RUPEES
7.2.1 Movement of other Investments			
Pace Barka Properties Limited			
Opening balance on July 01, 2022		47,958,442	41,492,935
2,721,238 (2022: 2,721,238) Ordinary shares of Rs. 10 each Equity Held			
0.89% (2022 : 0.89%)			
Gain/(Loss) on remeasurement of investment charged to P&L	7.2.3	(1,510,236)	6,465,507
Closing balance on June 30, 2023		46,448,206	47,958,442
7.2.2 LSE Financial Services Limited (formerly Lahore Stock Exchange Limited-LSEL)			
Opening balance on July 01, 2022		16,407,321	20,474,684
843,975 (2022: 843,975) Ordinary shares of Rs. 10 each			
Equity Held 0.66% (2022 : 0.66%)			
Transfer of shares to LSEVL and LSEPL due to demerger		(11,383,460)	
Gain/(Loss) Due to demerger of LSEFSL into LSEVL and LSEPL	7.2.4	(5,023,861)	(4,067,363)
Closing balance on June 30, 2023		-	16,407,321
7.2.3 The Company's investment in unquoted shares of Media Info Systems (Pvt) Limited and Pacer Barka Properties (Pvt) Limited incorporated in Pakistan are valued at its fair value based on the net assets value of the investee Company as at June 30, 2023. The above figures are based on unaudited financial statements.			
7.2.4 During the year there is no transfers between Level 1,2 and 3 of the fair value hierarchy.			
8 LONG TERM DEPOSITS AND PREPAYMENTS			
Pakistan Stock Exchange Limited		200,000	200,000
Central Depository Company of Pakistan Limited		100,000	100,000
National Clearing Company of Pakistan Limited		1,200,000	1,200,000
Other Deposits		219,000	219,000
		1,719,000	1,719,000
9 INVESTMENT PROPERTY			
Balance as on July 01, 2022	9.1	71,788,500	43,722,326
Increase in Capital Work in Progress	9.2	1,007,182	19,386,900
		72,795,682	63,109,226
Increase in fair value of Land and CWIP	9.3	6,924,000	8,679,274
Capital work in progress		79,719,682	71,788,500
9.1 Investment Property comprise of Commercial Plot No. 30, Located At Service Lane Ring Road, Near Netsol, Cricketers' Colony, Hadbast Mouza Ghova, Tehsil Cantt, District Lahore and building under process.			
9.2 The managent intend to construct the commercial building on this property and earn rental income in future.			
9.3 The fair value of subject investment property is based on valuation that was carried out by M/s. Zafar Iqbal & Company, independent valuer (approved valuator on the panel of Pakistan Banking Association) as on June 30, 2023. The valuer determined the fair value of Rs.79,719,682/- (2022:71,788,500/-), the effect of which has been incorporated in the financial statements.			
9.4 Fair value measurements-Investment Property			
Fair Value at June 30, 2023 (Level 2)		79,719,682	
Fair Value at June 30, 2022 (Level 2)			71,788,500
There are no level 1 and level 3 assets or transfers between levels 1, 2 and 3 during 2022. It is not applicable for the year 2023.			
Valuation techniques used to derive level 2 fair values:			

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

Note	2023	2022
	RUPEES	RUPEES

Level 2 fair value of investment properties has been derived using the sales comparison approach. Sale prices of comparable land and buildings in close proximity are adjusted for differences in key attributes such as location, size, nature and condition of the property. The most significant input into this valuation approach is price per square foot.

There are no level 1 and level 3 assets or transfers between levels 1, 2 and 3 during 2022. It is not applicable for the year 2023.

Valuation techniques used to derive level 2 fair values:

Level 2 fair value of investment properties has been derived using the sales comparison approach. Sale prices of comparable land and buildings in close proximity are adjusted for differences in key attributes such as location, size, nature and condition of the property. The most significant input into this valuation approach is price per square foot.

Capital work in progress	79,719,682	71,788,500
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Valuation techniques used to derive level 2 fair values:

Level 2 fair value of investment properties has been derived using the sales comparison approach. Sale prices of comparable land and buildings in close proximity are adjusted for differences in key attributes such as location, size, nature and condition of the property. The most significant input into this valuation approach is price per square foot.

9.5 Particulars of the investment properties are as follows:

Location	Forced sale value		Forced Sale Value	
	Area Sq. Ft	June 2023 Rupees	Area Sq. Ft	June 2022 Rupees
Plot No. 30, Located At Service Lane Ring Road, Near Netsol, Cricketers' Colony, Hadbast Mouza Ghova,	2225	67,761,730	2225	61,020,225

10 TRADE DEBTORS

Trade debts against purchase of shares:

Considered good - unsecured	16,341,093	13,721,128
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Trade debts other than purchase of shares:

Considered good - unsecured	15,649,068	735,227
Considered doubtful - unsecured	1,276,413	1,276,413
	16,925,481	2,011,640
Provision for doubtful debt	10.2 (1,276,413)	(1,276,413)
	31,990,161	14,456,355

10.1 Age analysis of trade debts is provided in Note 29.1.2.

10.2 Provision for impairment of trade debts

Opening Provision	1,276,413	19,834,374
(Written Off / Reversal) / Charge during the year	-	(18,557,961)
Closing balance	1,276,413	1,276,413

11 INVESTMENTS

At fair value through profit or loss,

Quoted Equity securities	11.1	11,368,258	8,312,544
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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

Note	2023	2022
	RUPEES	RUPEES

11.1 Financial assets at fair value through profit or loss
Quoted equity securities

	No. of Shares		Carrying amount		Fair Value	
	2023	2022	2023	2022	2023	2022
Quoted Securities						
Samba Bank Ltd	-	142,000	-	1,712,520	-	1,397,280
Hum Network Ltd	-	70,000	-	525,000	-	498,400
Engro Fertilizers Ltd	-	100	-	9,393	-	8,864
Dost Steels Ltd	-	1,200,000	-	4,560,000	-	6,408,000
Arshad Energy Ltd	2	-	26	-	41	-
Bank Al Habib Ltd	10,000	-	407,000	-	432,200	-
Bank Islamic Pakistan Ltd	3,002	-	53,309	-	53,316	-
Kohinoor Power Company Ltd	331,500	-	1,315,148	-	1,229,865	-
Nimir Industrial Chemicals Ltd	2,500	-	209,875	-	216,175	-
Nishat Chunian Power Ltd	11,005	-	183,902	-	183,784	-
Telecard Ltd	5,000	-	33,000	-	33,000	-
Waves Home Appliances Ltd	12,000	-	54,855	-	53,160	-
LSE Ventures Limited 11.1.1	842,810	-	8,428,100	-	7,585,290	-
LSE Proptech Limited 11.1.2	295,536	-	2,955,360	-	1,421,528	-
Waves Corporation Ltd	26,000	-	159,900	-	159,900	-

Total Investment	1,539,355	1,412,100	13,800,475	6,806,913	11,368,258	8,312,544
	1,148,346					

Profit/(Loss) on remeasurement					(2,432,217)	1,505,631
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Total Investment as at Year end					11,368,258	8,312,544
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11.1.1 LSE Ventures Limited shares held by the entity has been pledged against Base Minimum Capital (BMC).

11.1.2 LSE Proptech Limited shares held by the entity has been pledged against Base Minimum Capital (BMC).

12 ADVANCES, DEPOSITS, PREPAYMENTS AND OTHER RECEIVABLES

Advances - Unsecured - Considered good	12.1	438,499	382,500
Short Term Deposits	12.2	12,531,736	26,054,236
Other Receivables	12.3	4,566,395	2,068,468
		17,536,630	28,505,204

12.1 Advances - Unsecured - Considered good
- To Employees

438,499	382,500
438,499	382,500

12.2 Short Term Deposits

Exposure with NCCPL	1,178,500	20,646,000
Base Minimum Capital	4,828,236	4,328,236
Margin deposited with Bank	6,525,000	1,080,000
Inter Office Balance	-	-
	12,531,736	26,054,236

12.3 Other Receivables

Other Receivables - Considered Good	4,566,395	2,068,468
Other Receivables - Considered Doubtful	85,700	85,700
Less: Provision for Doubtful Other Receivables	(85,700)	(85,700)
	4,566,395	2,068,468

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

	Note	2023 RUPEES	2022 RUPEES
13 CASH AND BANK BALANCES			
Cash in hand		22,260	5,863
Cash at Bank			
Saving Accounts	13.1	9,107,302	5,417,251
Current Accounts	13.2	118,691,340	44,700,543
		127,798,643	50,117,794
Customers Security Deposit under Escrow Agreement	13.3	477,191	15,876,191
		<u>128,298,094</u>	<u>65,999,848</u>
13.1 These carry profit at rates ranging 18% to 20.5% per annum (2022: 3% to 5% per annum).			
13.2 Bank balances include customers' bank balances held in designated bank accounts amounting to Rs. 116,525,178/- (2022: Rs. 44,560,919/-)			
13.3 Received Security Deposit as Manager to Offer of Automotive Plastics (Pvt) Limited for the public tender offer base acquisition of AEL Textiles Ltd.			
14 SHARE CAPITAL			
Authorized Share Capital			
16,000,000 (2022: 16,000,000) Ordinary Shares Of Rs. 10/- Each		<u>160,000,000</u>	<u>160,000,000</u>
Paid up Share Capital			
13,000,000 (2022: 13,000,000) Ordinary Shares Of Rs. 10/- Each, Fully Paid in Cash		<u>130,000,000</u>	<u>130,000,000</u>
15 LONG TERM - SUBORDINATED LOAN			
Subordinated Loan from Sponsor	15.1	<u>6,200,000</u>	<u>6,200,000</u>
		<u>6,200,000</u>	<u>6,200,000</u>
15.1 Subordinated loan represents unsecured loan from Director to increase net worth / liquid capital of the Company. The loan carries mark up rate of six (06) months KIBOR plus premium of two (02) percent. The mark up rate shall not be Movement of balances are disclosed in related party transaction note no.28			
16 TRADE AND OTHER PAYABLES			
Pavable against sale of shares - un secured	16.1	101,920,259	38,353,975
Accrued Liabilities	16.2	21,706,862	24,485,534
Other Liabilities		3,724,759	6,195,071
Workers' Welfare Fund		2,136,482	1,691,291
		27,568,103	32,371,896
		<u>129,488,362</u>	<u>70,725,871</u>
16.1 This includes balance payable to directors amounting Rs.465,245/- on account of sale of shares (2022: Rs.1,090,845/-).			
16.2 It includes Security Deposit as Manager to Offer of Automotive Plastics (Pvt) Limited for the public tender offer base acquisition of AEL Textiles Ltd.			
17 TAXATION-NET			
Income Tax Payables		3,889,204	5,067,658
Less: Advance Taxes		<u>2,682,071</u>	<u>2,894,495</u>
		<u>1,207,132</u>	<u>2,173,163</u>
18 Short Term Loan			
Running finance under mark-up arrangements	18.1	-	-
18.1 This represents utilized amount of short term running finance facilities under mark-up arrangements availed from Sindh Bank Limited amounting to Rs. 100 million. It carries mark up of 3 months Kibor+3.5% per annum payable quarterly. The said facility is secured by pledges of shares of listed companies on Pakistan Stock Exchange as approved by Sindh bank Limited with 50% margin and personal guarantees of the directors of the company. The facility shall be expired on October 31 2023.			

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

	Note	2023 RUPEES	2022 RUPEES
19 CONTINGENCIES AND COMMITMENTS			
<i>Contingencies</i>			
19.1 The company was received assessment notice U/S 122/1 of income tax ordinance 2001 for the tax year 2016 and 2021. The proceeding are still under process, the legal advisors are expecting a favorable outcome.			
<i>Commitments</i>			
Financial guarantees given by commercial banks on behalf of the Company		48,500,000	9,000,000
The company has secured financial guarantees from commercial banks in favor of National Clearing Company of Pakistan Limited (NCCPL) to fulfil the exposure requirement and in favor of Pakistan Stock Exchange Ltd to fulfill the BMC requirement. Guarantee commission charges during the year has been recorded in finance cost.			
20 REVENUE			
Equity brokerage income		20,526,998	43,976,601
Advisory and consultancy fee		38,095,713	28,798,668
Dividnd income on equity securities		3,822,997	1,841,481
		62,445,708	74,616,750
21 UNREALISED LOSS ON RE-MEASUREMENT OF INVESTMENTS AT FAIR VALUE THROUGH			
Gain/(Loss) on remeasurement of short term investments		(2,432,217)	1,505,631
(Loss)/Gain on remeasurement of long term investments		(6,720,970)	3,829,205
		(9,153,187)	5,334,836
22 OPERATING AND ADMINISTRATIVE EXPENSES			
Salaries, Wages & Benefits	22.1	34,373,795	31,097,455
Rent, Rates and Taxes		2,140,495	2,183,225
Fee & Subscription		1,825,533	6,844,060
Utilities		1,306,596	963,988
Travelling & Conveyance		1,612,756	629,039
Internet & Mobile Charges		1,570,217	1,093,031
Insurance		1,197,572	908,383
Entertainment		1,562,859	1,692,994
Printing and Stationery		158,180	146,715
Courier Charges		145,290	92,650
Auditor's remuneration	22.2	576,420	740,750
Depreciation & Amortization		2,674,524	2,416,467
Repair & Maintenance Office		639,504	412,501
Running and Maintenance Vehicles		307,960	237,864
CDC Charges		263,015	495,253
Write Offs / Bad Debts		412,170	823,635
NCCPL Charges		2,264,791	3,123,666
Other Office Expenses		705,745	681,919
		53,737,423	54,583,594
22.1 These includes staff retirement benefit expense amounting to Rs. 715,072/- (2022: 670,324).			
22.2 Auditor's remuneration			
Statutory audit		300,000	250,000
Certifications and others		276,420	473,250
Out of pocket expenses		-	17,500
		576,420	740,750

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

Note	2023	2022
	RUPEES	RUPEES
23 OTHER OPERATING EXPENSES		
Workers' Welfare Fund	445,191	844,788
	<u>445,191</u>	<u>844,788</u>
24 FINANCE COST		
Markup on subordinated loan	1,548,140	1,075,700
Markup on running finance	319,648	-
Bank charges	1,004,692	211,240
Finance cost on lease liability	-	313,101
	<u>2,872,480</u>	<u>1,600,041</u>
25 OTHER INCOME		
Profit on Bank Balances	880,608	987,169
Profit on NCS Exposure	2,953,216	3,576,101
Gain on disposal of vehicle	2,223,850	1,544,691
Provisions written back	214,600	1,714,607
Miscellaneous income	3,817,062	4,088,443
Fair value gain on remeasurement of investment property	6,924,000	8,679,274
	<u>17,013,337</u>	<u>20,590,285</u>
26 TAXATION		
Current		
for the year	3,845,081	4,432,933
	<u>3,845,081</u>	<u>4,432,933</u>
26.1 Numerical reconciliation between accounting profit and tax expense		
Accounting Profit for the year	12,716,741	40,306,833
Applicable tax rate as per Income tax ordinance, 2001:	29%	29%
Tax on accounting profit	3,687,855	11,688,982
- Effect of income chargeable to tax at different rates	(535,220)	(257,807)
- Effect of items not adjustable for tax purposes	646,464	(11,239,927)
- Effect of income under minimum Tax Regime	176,625	4,241,686
- Others	(130,644)	-
	157,226	(7,256,048)
	<u>3,845,080</u>	<u>4,432,933</u>
26.2 The Provision for current taxation includes the minimum tax under minimum tax regime, normal tax under normal tax regime (29%) of taxable income and final Income tax paid under final tax regime of Income Tax Ordinance 2001.		
27 EARNINGS PER SHARE - BASIC AND DILUTED		
27.1 Basic earnings per share		
Profit after taxation	8,871,660	35,873,900
	<u>8,871,660</u>	<u>35,873,900</u>
Weighted average number of ordinary shares outstanding during the year	13,000,000	13,000,000
	<u>13,000,000</u>	<u>13,000,000</u>
Earnings per share - basic	0.68	2.76
27.2 Earnings per share - Diluted		
There is no diluted effect on the basic earning per share, since there were no ordinary potential shares in issue as at June 30, 2023 and June 30, 2022		

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
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28 TRANSACTIONS WITH RELATED PARTIES

Related parties comprise of entities over which the Directors are able to exercise significant influence. Related parties include entities with common Directors, major shareholders, subsidiary undertakings, associated companies, Directors and key management personnel. Details of transactions with related parties are as follows:

			Transaction during the year	
			2023	2022
<u>Nature of Transactions</u>	<u>Relationship</u>	<u>Description</u>	<u>Rupees</u>	
Key Management Personnel				
Mrs. Sadia Ali	Director	Advances	-	(3,861,920)
	Director	Markup on Subordinated Loan	(1,548,140)	(1,075,700)
Mrs. Sadia Ali				
Mr. Sardar Ali	Director/CEO	Advances	-	(6,402,235)
2023				
		Chief Executive	Directors	Executives
		1	2	3
Managerial remuneration		3,313,692	9,439,524	5,940,000
Commission or bonus		-	-	-
Director's Meeting Fee		-	-	-
		3,313,692	9,439,524	5,940,000
2022				
		Chief Executive	Directors	Executives
		1	2	3
Managerial remuneration		3,301,692	8,230,124	4,925,832
Commission or bonus		1,000,000	-	1,720,719
Director's Meeting Fee		-	-	56,000
		4,301,692	8,230,124	6,702,551

28.1 In addition, Chief Executive and Directors have been provided with Company maintained cars.

28.2 Meeting fees were paid to the director for attending the Board meetings (2022: 56,000).

29 FINANCIAL INSTRUMENTS

The Company finances its operations through equity, borrowings and management of working capital with a view to obtain a reasonable mix between the various source of finance to minimize the risk.

The Company has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

The Board of Directors has overall responsibility for the establishment and oversight of Company's risk management framework. The Board is also responsible for developing and monitoring the Company's risk management policies.

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

29.1 Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. Concentrations of credit risk arise when a number of counterparties are engaged in similar business activities, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions.

- Monitoring of debts on continuous basis.
- Deposit of margins before execution of orders for all retail clientele.
- Obtaining adequate securities for all receivables.

29.1.1 Exposure to credit risk

The carrying values of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	2023	2022
	Rupees	Rupees
Trade debts - unsecured	31,990,161	14,456,355
Investme	11,368,258	8,312,544
Advances, deposits and other receivables	17,536,630	28,505,204
Cash and bank balance	128,298,094	65,999,848
	<u>189,193,143</u>	<u>117,273,951</u>

The credit quality of financial assets can be assessed by reference to external credit rating or the historical information about counter party defaults.

29.1.2 The age of trade debts at the reporting date was:

	2023	2022
	Rupees	Rupees
Not over due	16,341,093	13,721,128
Over due for less than 365 days	15,649,068	735,227
More than 1 year Less than 3 year	-	-
More than 3 year Less than 5 year	-	-
More than 5 year	-	-
	<u>31,990,161</u>	<u>14,456,355</u>

29.1.3 The collateral available against clients balances due for more than fourteen days related to brokerage amounting Rs. 642,113 is 126,510,806 (2022: Rs.8,080,522 against 99,352,676)

29.2 Liquidity risk

Liquidity risk is the risk that an enterprise will encounter difficulties in raising funds to meet commitments associated with financial instruments. The Company believes that it is not exposed to any significant level of liquidity risk.

29.3 Market risk

Market risk is the risk that changes in market price, such as foreign exchange rates, interest rates and equity prices will effect the Company's income or the value of its holdings of financial instruments.

The Company's market risk comprises of three types of risk: interest/markup rate risk, foreign exchange or currency risk and equity price risk. The market risks associated with the Company's business activities are discussed as under:

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30,2023

29.3.1 Currency risk

Currency risk arises mainly where receivables and payables exist due to transactions entered into foreign currency. Foreign currency risk arises mainly where payable/receivable exist due to transactions with foreign clients. The company does not have any financial assets or liabilities in foreign currency at the reporting date.

29.3.2 Interest rate risk

Interest rate risk is the risk of decline in earnings due to adverse movement of the interest rate curve. Interest rate risk arises from the possibility that changes in interest rates will affect the value of the financial instruments.

29.3.3 Other Price risk

Equity price risk arise from equity securities classified as at fair value through profit or loss. To manage its price risk arising from investments in equity securities, the Company diversifies its portfolio within the eligible stocks in accordance with the risk investment guidelines approved by the investment committee.

29.4 Sensitivity analysis

All of the Company's listed equity investments are listed on Pakistan Stock exchange. The table below summarizes the Company's equity price risk as of June 30 2023 and 2022 and shows the effects of a hypothetical 10% increase and a 10% decrease in market prices as at the year end. The selected hypothetical change does not reflect what could be considered to be the best or worst case scenarios. Indeed, results could be

2023					
	Fair value	Estimated fair value after hypothetical change in	Estimated fair value after hypothetical change in prices"	Hypothetical increase /(decrease) in shareholders' equity"	Hypothetical increase /(decrease) in Profit before Tax"
Long term Investments	51,132,815	+10% -10%	56,246,096 (46,019,533)	5,113,281 (5,113,281)	5,113,281 (5,113,281)
Short term investments	11,368,258	+10% -10%	12,505,084 (10,231,432)	1,136,826 (1,136,826)	1,136,826 (1,136,826)

2022					
	Fair value	Estimated fair value after hypothetical change in prices"	Estimated fair value after hypothetical change in prices"	Hypothetical increase /(decrease) in shareholders' equity"	Hypothetical increase /(decrease) in Profit before Tax"
Long term Investments	69,237,245	+10% -10%	76,160,969 (62,313,520)	6,923,724 (6,923,724)	6,923,724 (6,923,724)
Short term investments	8,312,544	+10% -10%	9,143,798 7,481,290	831,254 (831,254)	831,254 (831,254)

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
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29.5 Fair value of financial instruments

The carrying values of the financial assets and financial liabilities approximate their fair values. Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction.

Under the definition of fair value is the presumption that the Company is a going concern without any intention or requirement to curtail materially the scale of its operations or to undertake a transaction on adverse terms.

The carrying values of the financial assets and financial liabilities approximate their fair values. Fair value is measured in accordance with Note 4.15.

29.6 Financial Assets Fair Value Hierarchy

All financial instruments carried at fair value are categorised in three categories defined as follows:

Level 1 - quoted prices in active markets for identical assets

Level 2 - other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly.

Level 3 - techniques which use inputs which have a significant effect on the recorded fair value that are not based on observable market data

The table below analyses equity instruments measured at fair value at the end of the reporting period by the level in the fair value hierarchy into which the fair value measurement is categorized:

	2023			
	Level 1	Level 2	Level 3	Total
	Rupees			
Long term investments				
Unquoted investments	-	-	51,132,815	51,132,815
Investment Property	-	-	-	-
Short term investments	11,368,258	-	-	11,368,258
	2022			
	Level 1	Level 2	Level 3	Total
	Rupees			
Long term investments				
Unquoted investments	-	-	69,237,245	69,237,245
Investment Property	-	-	-	-
Short term investments	8,312,544	-	-	8,312,544.00

Valuation techniques used to measure fair values

The fair value of financial instruments traded in active markets is based on quoted market prices at the statement of financial position date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Company is the current bid price. These instruments are included in Level 1. The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques. These valuation techniques maximize the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in Level 2. If one or more of the significant inputs is not based on observable market data, the instrument is included in Level 3.

As at June 30, 2023, the Company's long term investments in unquoted securities (see note 7), carried at fair value. The fair value of such investments is determined by using level 3 techniques. The fair value of investment in unquoted securities has been determined by using various valuation techniques depending on availability of There were no transfers between levels 1, 2 and 3 for recurring fair value measurements during the year.

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INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
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29.7 Financial instruments by category

Financial Assets

Long term investments	-	51,132,815	51,132,815
Long term deposits and prepayments	1,719,000	-	1,719,000
Trade debtors	31,990,161	-	31,990,161
Short term investments	-	11,368,258	11,368,258
Advances, deposits, prepayments & other receivables	17,536,630	-	17,536,630
Cash and bank balances	128,298,094	-	128,298,094

Financial Liabilities

Trade and other payables	129,488,362	-	129,488,362
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2023		
At Amortized Cost	Assets / Liabilities at fair value through profit or loss	Total
Rupees		

2022		
At Amortized Cost	Assets / Liabilities at fair value through profit or loss	Total
Rupees		

Financial Assets

Long term investments	-	69,237,245	69,237,245
Long term deposits and prepayments	1,719,000	-	1,719,000
Trade debtors	14,456,355	-	14,456,355
Short term investments	-	8,312,544	8,312,544
Advances, deposits, prepayments & other receivables	28,505,204	-	28,505,204
Cash and bank balances	65,999,848	-	65,999,848

30 CAPITAL RISK MANAGEMENT

The primary objective of the Company's capital management is to maintain healthy capital ratios, strong credit rating and optimal capital structure in order to ensure ample availability of finance for its existing operations, for maximizing shareholder's value, for tapping potential investment opportunities and to reduce cost of capital.

The Company manages its capital structure and makes adjustment to it, in light of changes in economic conditions. In order to maintain or adjust the capital structure, the Company may adjust the amount of

The Company finances its operations through equity, borrowing and management of its working capital with a view to maintain an appropriate mix between various sources of finance to minimize risk.

During the year the Company has no significant gearing.

There were no changes in the Company's approach to capital management during the year and the company is subject to externally imposed minimum equity requirement of the Securities Brokers (Licensing and Operations) Regulations, 2016 and is required to maintain Rs. 50 million net equity. The Company's equity is above the minimum required threshold limit. Capital comprises of share capital and other reserves net of accumulated losses.

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30.1 Capital Adequacy Level

	Note	2023 Rupees
Total Assets	30.1.1	339,739,283
Less: Total Liabilities		(136,895,494)
Less: Revaluation Reserve (created upon revaluation of fixed assets)		-
		<u>202,843,789</u>

- 30.1.1** While determining the value of total assets of the TREC Holder, notional value of the TREC certificate held by the Integrated Equities Limited as at year ended June 30, 2023 as determined by Pakistan Stock Exchange has been considered.

31 LIQUID CAPITAL

As per attached in Annexure "A".

32 NUMBER OF EMPLOYEES

Number of employees at the end of the year	<u>22</u>	<u>22</u>
Average number of employees during the year	<u>22</u>	<u>20</u>

33 EVENTS AFTER REPORTING DATE

There are no significant adjusting or non adjusting event after the reporting date requiring adjustment or disclosure in financial statements.

34 CORRESPONDING FIGURES

Corresponding figures have been rearranged and reclassified, wherever necessary for the purpose of comparison and disclosed in relevant notes. However, no material reclassification / rearrangements have been made in these financial statements.

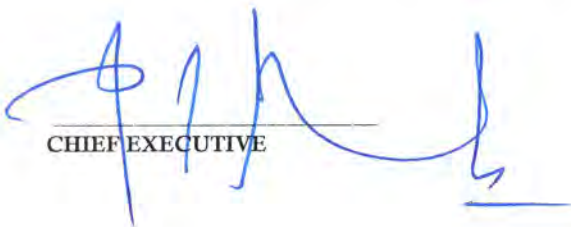
35 AUTHORIZATION FOR ISSUE

These financial statements have been authorized for issue by the Board of Directors on 08 September 2023

36 GENERAL

- Figures have been rounded off to the nearest rupee .

RCM


 CHIEF EXECUTIVE


 DIRECTOR

INTEGRATED EQUITIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

Annexure "A"

32 LIQUID CAPITAL

S. No.	Head of Account	Value in Pak Rupees	Hair Cut / Adjustments	Net Adjusted Value	Ref
I. Assets					
1.1	Property & Equipment	15,474,643	100.00%	-	
1.2	Intangible Assets	2,500,000	100.00%	-	
1.3	Investment in Govt. Securities (150,000*99)	-	-	-	
	Investment in Debt Securities				
	If listed then:				
	i. 5% of the balance sheet value in the case of tenure upto 1 year.	-	5.00%	-	
	ii. 7.5% of the balance sheet value, in the case of tenure from 1-3 years.	-	7.50%	-	
	iii. 10% of the balance sheet value, in the case of tenure of more than 3 years.	-	10.00%	-	
	If unlisted then:				
	i. 10% of the balance sheet value in the case of tenure upto 1 year.	-	10.00%	-	
	ii. 12.5% of the balance sheet value, in the case of tenure from 1-3 years.	-	12.50%	-	
	iii. 15% of the balance sheet value, in the case of tenure of more than 3 years.	-	15.00%	-	
	Investment in Equity Securities				
1.5	i. If listed 15% or VaR of each securities on the cutoff date as computed by the Securities Exchange for respective securities whichever is higher.	11,368,258	9,696,765	1,671,493	
	ii. If unlisted, 100% of carrying value.	-	100.00%	-	
1.6	Investment in subsidiaries	-	100.00%	-	
	Investment in associated companies/undertaking				
1.7	i. If listed 20% or VaR of each securities as computed by the Securities Exchange for respective securities whichever is higher.	-	-	-	
	ii. If unlisted, 100% of net value.	-	100.00%	-	
1.8	Statutory or regulatory deposits/basic deposits with the exchanges, clearing house or central depository or any other entity.	1,500,000	100.00%	-	
1.9	(i) Cash Margin deposits with exchange and clearing house.	1,178,500	-	1,178,500	
	(ii) Margin deposit with clearing house in the form of Bank guarantee	-	-	-	
1.10	Deposit with authorized intermediary against borrowed securities under SLB.	-	-	-	
1.11	Other deposits and prepayments	4,828,236	100.00%	-	
1.12	Accrued interest, profit or mark-up on amounts placed with financial institutions or debt securities etc. (Nil)	-	-	-	
	100% in respect of markup accrued on loans to directors, subsidiaries and other related parties	-	100.00%	-	
1.13	Dividends receivables	-	-	-	
1.14	Amounts receivable against Repo financing.	-	-	-	
	Amount paid as purchaser under the REPO agreement. (Securities purchased under repo arrangement shall not be included in the investments.)	-	-	-	
	Receivables other than trade receivables	-	-	-	
1.15	i. Short Term Loan To Employees: Loans are Secured and Due for repayment within 12 months	391,999	0.00%	391,999	
	ii. Receivables other than trade receivables	4,461,395	100.00%	-	
1.16	Receivables from clearing house or securities exchange(s)				
	100% value of claims other than those on account of entitlements against trading of securities in all markets including MIM gains.	-	-	-	
	Receivables from customers				
	i. In case receivables are against margin financing, the aggregate if (i) value of securities held in the blocked account after applying VAR based Haircut, (ii) cash deposited as collateral by the finnee (iii) market value of any securities deposited as collateral after applying VaR based haircut.	-	-	-	
	i. Lower of net balance sheet value or value determined through adjustments	-	-	-	
	ii. In case receivables are against margin trading, 5% of the net balance sheet value.	-	5.00%	-	
	ii. Net amount after deducting haircut	-	-	-	
	iii. In case receivables are against securities borrowings under SLB, the amount paid to NCCPL as collateral upon entering into contract,	-	-	-	
1.17	iii. Net amount after deducting haircut	-	-	-	
	iv. In case of other trade receivables not more than 5 days overdue, 0% of the net balance sheet value.	14,827,561	-	14,827,561	
	iv. Balance sheet value	-	-	-	
	v. In case of other trade receivables are overdue, or 5 days or more, the aggregate of (i) the market value of securities purchased for customers and held in sub-accounts after applying VAR based haircuts, (ii) cash deposited as collateral by the respective customer and (iii) the market value of securities held as collateral after applying VaR based haircuts.	1,513,533	427,912	1,085,621	
	v. Lower of net balance sheet value or value determined through adjustments	-	-	-	
	vi. 100% haircut in the case of amount receivable from related parties.	-	100.00%	-	
	Cash and Bank balances				
1.18	i. Bank Balance-proprietory accounts	16,430,886	-	16,430,886	
	ii. Bank balance-customer accounts	116,525,178	-	116,525,178	
	iv. Cash in hand	22,260	-	22,260	
1.19	Total Assets	191,022,449		152,133,499	

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2. Liabilities				
	Trade Payables			
2.1	i. Payable to exchanges and clearing house	-	-	-
	ii. Payable against leveraged market products	-	-	-
	iii. Payable to customers	101,920,259	-	101,920,259
	Current Liabilities			
	i. Statutory and regulatory dues	-	-	-
	ii. Accruals and other payables	4,620,817	-	4,620,817
	iii. Short-term borrowings	-	-	-
2.2	iv. Current portion of subordinated loans	-	-	-
	v. Current portion of long term liabilities	-	-	-
	vi. Deferred Liabilities	-	-	-
	vii. Provision for bad debts	-	-	-
	viii. Provision for taxation	1,207,132	-	1,207,132
	ix. Other liabilities as per accounting principles and included in the financial statements	-	-	-
	Non-Current Liabilities			
2.3	i. Long-Term financing	-	-	-
	ii. Staff retirement benefits	-	-	-
	iii. Other liabilities as per accounting principles and included in the financial statements	-	-	-
2.4	Subordinated Loans			
	100% of Subordinated loans which fulfill the conditions specified by SECP are allowed to be deducted	-	-	-
2.5	Total Liabilities	107,748,208		107,748,208
3. Ranking Liabilities Relating to :				
	Concentration in Margin Financing			
3.1	The amount calculated client-to- client basis by which any amount receivable from any of the financees exceed 10% of the aggregate of amounts receivable from total financees.	-	-	-
	Concentration in securities lending and borrowing			
	The amount by which the aggregate of:			
3.2	(i) Amount deposited by the borrower with NCCPL	-	-	-
	(ii) Cash margins paid and	-	-	-
	(iii) The market value of securities pledged as margins exceed the 110% of the market value of shares borrowed	-	-	-
	Net underwriting Commitments			
3.3	(a) in the case of right issue : if the market value of securities is less than or equal to the subscription price; the aggregate of:	-	-	-
	(i) the 50% of Haircut multiplied by the underwriting commitments and	-	-	-
	(ii) the value by which the underwriting commitments exceeds the market price of the securities.	-	-	-
	In the case of rights issue where the market price of securities is greater than the subscription price, 5% of the Haircut multiplied by the net underwriting	-	-	-
	(b) in any other case : 12.5% of the net underwriting commitments	-	-	-
	Negative equity of subsidiary			
3.4	The amount by which the total assets of the subsidiary (excluding any amount due from the subsidiary) exceed the total liabilities of the subsidiary	-	-	-
	Foreign exchange agreements and foreign currency positions			
3.5	5% of the net position in foreign currency.Net position in foreign currency means the difference of total assets denominated in foreign currency less total liabilities denominated in foreign currency	-	-	-
3.6	Amount Payable under REPO	-	-	-
	Repo adjustment			
3.7	In the case of financier/purchaser the total amount receivable under Repo less the 110% of the market value of underlying securities.	-	-	-
	In the case of financee/seller the market value of underlying securities after applying haircut less the total amount received ,less value of any securities deposited as collateral by the purchaser after applying haircut less any cash deposited by the purchaser	-	-	-
3.8	Concentrated proprietary positions			
	If the market value of any security is between 25% and 51% of the total proprietary positions then 5% of the value of such security If the market of a security exceeds 51% of the proprietary position, then 10% of the value of such security	-	122,987	122,987
	Opening Positions in futures and options			
3.9	i. In case of customer positions, the total margin requirements in respect of open positions less the amount of cash deposited by the customer and the value of securities held as collateral/ pledged with securities exchange after applying VaR haircuts	-	-	-
	ii. In case of proprietary positions , the total margin requirements in respect of open positions to the extent not already met	-	-	-
	Short sell positions			
3.10	i. Incase of customer positions, the market value of shares sold short in ready market on behalf of customers after increasing the same with the VaR based haircuts less the cash deposited by the customer as collateral and the value of securities held as collateral after applying VAR based Haircuts	-	-	-
	ii. Incase of proprietary positions, the market value of shares sold short in ready market and not yet settled increased by the amount of VAR based haircut less the value of securities pledged as collateral after applying haircuts.	-	-	-
3.11	Total Ranking Liabilities	-	122,987	122,987
		83,274,242	Liquid Capital	44,262,304

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